Deephaven

UPDATES TO DEEPHAVEN CORRESPONDENT PURCHASE ELIGIBILITY GUIDELINES

Effective Date: July 23, 2025

Channels: Correspondent

Summary: Deephaven Mortgage will amend the following guidelines as detailed below. These changes are applicable to all loans currently in production.

SECTION	REVISION	PREVIOUS GUIDELINE	UPDATED GUIDELINE
3.3.1.2 GENERAL REFINANCE REQUIREMENTS: CASH-OUT REFINANCE	**Revised seasoning requirements to be established by note date of new mortgage transaction rather than application date.**	If the property was acquired < 6 months from application date, the lesser of the current appraisal value or previous purchase price plus documented improvements (if any) must be used. The purchase settlement statement and any invoices for materials/labor will be required. If the subject property was acquired ≥ 6 but < 12 months from application date, the appraised value may be used to determine loan-to-value when the following requirements are met: • Clear Capital CDA, Field Review, or FNMA Collateral Underwriter/ FHLMC Loan Collateral Advisor Review w/score of 2.5 or less (copy of the Submission Summary Report required) • Maximum 75% LTV	If the property was acquired < 6 months from **note** date, the lesser of the current appraisal value or previous purchase price plus documented improvements (if any) must be used. The purchase settlement statement and any invoices for materials/labor will be required. If the subject property was acquired ≥ 6 but < 12 months from **note** date, the appraised value may be used to determine loan-to-value when the following requirements are met: • Clear Capital CDA, Field Review, or FNMA Collateral Underwriter/ FHLMC Loan Collateral Advisor Review w/score of 2.5 or less (copy of the Submission Summary Report required) • Maximum 75% LTV If the subject property was acquired ≥ 12 months from **note** date, the appraised value may be used to determine loan-to-value.

deephavenmortgage.com • 3530 Toringdon Way Suite 300, Charlotte, NC 28277 USA • 800.983.0457

3.6.2 TEXAS HOME EQUITY LOANS: GENERAL REQUIREMENTS	**Updated Texas Home Equity guidelines to state only fully amortized products are permitted.**	The following parameters apply to Texas Section 50(a)(6) mortgages: • Full Documentation and Alternative Income Documentation allowed • Maximum LTV/CLTV 80/80% • 1-unit properties only	The following parameters apply to Texas Section 50(a)(6) mortgages: • Full Documentation and Alternative Income Documentation allowed • Maximum LTV/CLTV 80/80% • 1-unit properties only • **Fully amortized products only**
4.13.2.1 LEASEHOLD ESTATE: LEASE REQUIREMENTS	**Expanded lease term requirements for leasehold properties to 50+ years.**	The following requirements must be met for leases associated with leasehold estate mortgage loans: • The term of the leasehold estate must run for at least five years beyond the maturity date of the mortgage, unless fee simple title will vest at an earlier date in the borrower.	The following requirements must be met for leases associated with leasehold estate mortgage loans: • The remaining term of leasehold is **50 years or more** (including unexpired renewals) from date of the mortgage.
5.4 TRADELINE REQUIREMENTS	**Revised tradeline requirements to include option for no tradelines when certain parameters are met.**	Minimum tradeline requirements: • 3 tradelines reporting for 12+ months with activity in last 12 months; or • 2 tradelines reporting for 24+ months with activity in last 12 months; or • 1 tradeline for 36+ months with activity in the last 12 months	Minimum tradeline requirements: • 3 tradelines reporting for 12+ months with activity in last 12 months; or • 2 tradelines reporting for 24+ months with activity in last 12 months; or • 1 tradeline for 36+ months with activity in the last 12 months; or • **Primary wage earner credit report reflects scores from all 3 bureaus and qualifying score is 700+**
5.12 JUDGMENTS AND TAX LIENS	**Removed language concerning additional LTV reductions when tax liens remain open.**	Outstanding state and federal tax liens or delinquent obligations may remain open on purchase transactions only (additional LTV reductions may be required based on the size of the lien).	Outstanding state and federal tax liens or delinquent obligations may remain open on purchase transactions only ~~(additional LTV reductions may be required based on the size of the lien).~~

8.7.1 ANNUITY INCOME	**Reduced requirements for annuity income as 12-month history of receipt no longer required**.	Annuity income can be used for qualification when the following requirements are met: • 12-month history must be verified using 1099s, tax returns, or bank statements • Letter from issuer of annuity to be obtained stating that it has been set up on periodic withdrawal, amount of withdrawal, duration, and balance • Account asset balance must support the continuance of the monthly payments for at least 3 years after the close of escrow Annuities less than 12 months old must be in a non-revocable trust with a minimum term of 40 months in order to use the income to qualify.	Annuity income can be used for qualification when the following requirements are met: • Letter from issuer of annuity to be obtained stating that it has been set up on periodic withdrawal, amount of withdrawal, duration, and balance. • Account asset balance must support the continuance of the monthly payments for at least 3 years after the close of escrow.
8.7.23.5 RENTAL INCOME FROM SHORT-TERM RENTALS	**Removed section "8.7.23.5 Rental Income from Short-Term Rentals" for the Expanded Prime and Non-Prime programs.**	Short-term term rentals are properties which are leased on a nightly, weekly, monthly, or seasonal basis. Short-term rental income received directly from a home-sharing service (such as Airbnb or VRBO) or property management services may be used for qualification.	Rental income guidelines can be found in section 8.7.23 Rental Income.
8.7.26 SELF-EMPLOYED INCOME	**Reduced requirements for a Self-Employed Business Narrative as no longer required for full doc transactions.**	A Deephaven Self-Employed Business Narrative Form (or equivalent) is also required for all self-employed borrowers.	A Deephaven Self-Employed Business Narrative Form (or equivalent) is also required for self-employed borrowers **when using alternative income documentation.**

8.7.26.6 DEEPHAVEN SELF-EMPLOYED BUSINESS NARRATIVE FORM	**Reduced requirements for a Self-Employed Business Narrative as no longer required for full doc transactions.**	All self-employed borrowers must complete the Deephaven Self-Employed Business Narrative Form (or equivalent) providing a description of the business, ownership percentages, and any additional details related to transactions within the bank statements.	Self-employed borrowers using **alternative income documentation** must complete the Deephaven Self-Employed Business Narrative Form (or equivalent) providing a description of the business, ownership percentages, and any additional details related to transactions within the bank statements. Self-employed borrowers using full income documentation are not required to provide a business narrative.
10.3.11 MINIMUM BORROWER CONTRIBUTION	**Revised guidelines to clarify that transactions with limited tradelines require a minimum borrower contribution of 10%.**	A minimum borrower contribution of 10% must be documented on the following transactions: • Primary residence with unverifiable housing history • Second home • Investment property	A minimum borrower contribution of 10% must be documented on the following transactions: • Primary residence with unverifiable housing history • Second home • Investment property • **Limited tradelines**

deephavenmortgage.com • 3530 Toringdon Way Suite 300, Charlotte, NC 28277 USA • 800.983.0457

11.8.25 RURAL PROPERTIES	Revised rural property guidelines to apply to purchase transactions only.	Rural properties must comply with all of the following criteria: • Residential use only. • Maximum acreage for primary and 2nd homes is 15, including road frontage and subject property. • Maximum acreage for investment properties is 5. • Property must not be agricultural or provide a source of income to the borrower. • Lot size and acreage must be typical for the area and similar to surrounding properties. • Property cannot be subject to idle acreage tax benefit or other tax incentive program. • Present use as per the appraisal must be the "highest and best use" for the property. • Condition, quality, and use of outbuildings should be considered in determining the market value of the subject property when the appraiser clearly supports the adjustments with similar comparable information.	Rural properties must comply with all of the following criteria: • Maximum acreage is 15 acres (primary and 2nd homes), including road frontage and subject property. • Investment property transactions are limited to 5 acres. • **Purchase transactions only.** • Residential use only. • Max 75% LTV. • Property must not be agricultural or provide a source of income to the borrower. • Lot size and acreage must be typical for the area and similar to surrounding properties. • Property cannot be subject to idle acreage tax benefit or other tax incentive program. • Present use as per the appraisal must be the "highest and best use" for the property. • Condition, quality, and use of outbuildings should be considered in determining the market value of the subject property when the appraiser clearly supports the adjustments with similar comparable information.
11.9.2 GENERAL CONDOMINIUM REQUIREMENTS	**Removed restriction for maximum loan concentration by an individual borrower in a single condo development of 10%.**	All condominium projects must meet the following requirements: • The maximum loan concentration by an individual borrower in a single condo development is 10%.	All condominium projects must meet the following requirements: • ~~The maximum loan concentration by an individual borrower in a single condo development is 10%.~~

12.2.1 PUD INSURANCE: MINIMUM HAZARD INSURANCE COVERAGE	**Reduced insurance policy requirements for PUD projects. Additional verification of master insurance coverage on common elements is no longer required.**	Individual insurance policies are also required for each unit mortgage in the PUD project. If the project's legal documents allow for blanket insurance policies to cover both the individual units and the common elements, blanket policies are acceptable to satisfy insurance requirements for the units.	When units located within a PUD are covered by individual property insurance policies maintained by their respective owner(s), verification of master property insurance coverage on PUD common elements is not required.
14.2.3.1 DSCR TRANSACTIONS: DETERMINING LOAN-TO-VALUE	**Revised seasoning requirements to be established by note date of new mortgage transaction rather than application date. Added Clear Capital CDA as a supporting valuation option for property acquired < 6 months ago with renovations.**	The following standards apply to refinance transactions under DSCR: • If the property was acquired ≥ 6 months from application date, the appraised value may be used to determine loan-to-value. • If the property was acquired < 6 months from application date, the lesser of the current appraised value or the previous purchase price plus documented improvements (if any) must be used. The purchase settlement statement and any invoices for materials/labor will be required. • If the property was acquired < 6 months from application and the property was subsequently renovated, the appraised value can be used, subject to the below requirements: ○ Provide original listing photos and/or original appraisal from purchase illustrating property condition prior to renovation. ○ Full appraisal required reflecting improvements made since purchase. ○ FNMA Collateral Underwriter/FHLMC Loan Collateral Advisor Review with a score of 2.5 or less (include copy of Submission Summary Report).	The following standards apply to refinance transactions under DSCR: • If the property was acquired ≥ 6 months from **note** date, the appraised value may be used to determine loan-to-value. • If the property was acquired < 6 months from **note** date, the lesser of the current appraised value or the previous purchase price plus documented improvements (if any) must be used. The purchase settlement statement and any invoices for materials/labor will be required. • If the property was acquired < 6 months from **note** date and the property was subsequently renovated, the appraised value can be used, subject to the below requirements: ○ Provide original listing photos and/or original appraisal from purchase illustrating property condition prior to renovation. ○ Full appraisal required reflecting improvements made since purchase. ○ Value must be supported by a **Clear Capital CDA** or FNMA Collateral Underwriter/ FHLMC Loan Collateral Advisor Review with a score of 2.5 or less (must include a copy of the Submission Summary Report).

14.3.5 DSCR BORROWING ENTITIES	**Revised requirements for Borrowing Entities clarifying that loan applications must be completed only by the Personal Guarantor.**	Both the Borrowing Entity and the Personal Guarantor must complete a loan application. Borrowing Entities and Guarantors must also receive notice of the loan and its terms prior to closing.	Each member of the Borrowing Entity providing a personal guaranty (each a "Personal Guarantor") must complete a loan application or similar credit application signed in their individual capacity. If a standard FNMA Form 1003 is used, the section labeled, "Title to the Property Will be Held in What Name(s)," should include the Borrowing Entity name. Borrowing Entities and Guarantors must also receive notice of the loan and its terms prior to closing.
14.3.5 DSCR BORROWING ENTITIES	**Modified requirements for Borrowing Entity Operating Agreement. Letter from CPA, accountant, or attorney may be provided. W-9 must be verified by an acceptable third party.**	The following documentation is required for each Borrowing Entity: • Articles Of Organization/Certificate of Formation • Secretary of State Search • Operating Agreement (or equivalent) • Certificate of Good Standing • Executed W-9 and/or Employer Identification Number (EIN) • Evidence of signing authority for Guarantor signing on behalf of entity	The following documentation is required for each Borrowing Entity: • Articles Of Organization/Certificate of Formation • Secretary of State Search • Operating Agreement **(or letter from CPA, accountant, or attorney confirming members)** • Certificate of Good Standing • EIN-Employer Identification Number **(or W-9 w/acceptable third-party verification)** • Evidence of signing authority for Guarantor(s) signing on behalf of entity
14.3.8 DSCR FRAUD REPORT AND BACKGROUND CHECK	**Expanded fraud report requirements to include all members of the Borrowing Entity.**	All loans must include a third-party fraud detection report for all borrowers, guarantors, and Borrowing Entities.	All loans must include a third-party fraud detection report for all borrowers, guarantors, **and all members of each Borrowing Entity.**

deephavenmortgage.com • 3530 Toringdon Way Suite 300, Charlotte, NC 28277 USA • 800.983.0457

14.4.3 DSCR TRADELINE REQUIREMENTS	**Revised tradeline requirements to include option for no tradelines when certain parameters are met.**	Minimum tradeline requirements: • 3 tradelines reporting for 12+ months with activity in last 12 months; or • 2 tradelines reporting for 24+ months with activity in last 12 months; or • 1 tradeline for 36+ months with activity in the last 12 months	Minimum tradeline requirements: • 3 tradelines reporting for 12+ months with activity in last 12 months; or • 2 tradelines reporting for 24+ months with activity in last 12 months; or • 1 tradeline for 36+ months with activity in the last 12 months; or • **Primary wage earner credit report reflects scores from all 3 bureaus and qualifying score is 700+**
14.4.4 DSCR EVIDENCE OF PRIMARY RESIDENCE	**Clarified requirements for borrowers living rent-free under the DSCR Program.**	All borrowers or guarantors must own or rent a primary residence. Evidence of primary occupancy is required.	All borrowers or guarantors must own or rent a primary residence. Evidence of primary occupancy is required. **Borrowers living rent free may be considered on a case-by-case basis with compelling evidence of continued occupancy.**
14.4.12 DSCR: JUDGMENTS AND TAX LIENS	**Removed language concerning additional LTV reductions when tax liens remain open. Also removed unnecessary guidance related to DTI.**	Outstanding state and federal tax liens or delinquent obligations may remain open on purchase transactions only (additional LTV reductions may be required based on the size of the lien). All of the following requirements must be met: • A copy of the repayment agreement is obtained; • A minimum of 3 months has elapsed on the plan and evidence of timely payments for the most recent 3 months is provided; • The maximum payment required under the plan is included in the debt-to-income ratio; and The title company must provide written confirmation confirming (a) the title company is aware of the outstanding tax lien, and (b) there is no impact to first lien position.	Outstanding state and federal tax liens or delinquent obligations may remain open on purchase transactions only. All of the following requirements must be met: • A copy of the repayment agreement is obtained; • A minimum of 3 months has elapsed on the plan and evidence of timely payments for the most recent 3 months is provided; and • The title company must provide written confirmation confirming (a) the title company is aware of the outstanding tax lien, and (b) there is no impact to first lien position.

deephavenmortgage.com • 3530 Toringdon Way Suite 300, Charlotte, NC 28277 USA • 800.983.0457

14.6 DSCR RATIOS AND QUALIFYING	Revised guidelines to include restrictions to allow DSCR < 1.00.	Guidelines silent on DSCR < 1.00.	When DSCR < 1.00, the following restrictions apply: • Short-term rental income is not allowed. • Vacant or unleased properties are ineligible for refinance transactions. • Rural properties are not eligible. • Minimum DSCR allowed is .75.
14.6.2 DSCR SHORT-TERM RENTAL INCOME	**Expanded guidelines for use of short-term rental income. Additional restrictions apply.**	N/A	Short-term rental income received directly from a home-sharing service (such as Airbnb or VRBO) or property management services may be used for qualification, subject to the following restrictions: • Refinance transactions only. • Documented 12-month history of receipt of short-term rental income. • Minimum DSCR of 1.00.
14.8.3 DSCR APPRAISAL REVIEW PROCESS	**Revised DSCR appraisal review guidelines to include 2nd appraisals for cashout transactions with loan amount > $1.5M.**	The following transactions require a 2nd full appraisal in lieu of an appraisal review product listed above: • Loan amounts > $2,000,000	The following transactions require a 2nd full appraisal in lieu of an appraisal review product listed above: • Loan amounts > $2,000,000 • Cashout transactions with loan amounts > $1,500,000

deephavenmortgage.com • 3530 Toringdon Way Suite 300, Charlotte, NC 28277 USA • 800.983.0457

14.8.5 DSCR RURAL PROPERTIES AND ACREAGE	Revised guidelines for rural properties to include additional criteria including purchase transactions only, long-term rental income, DSCR > 1.0, and max 65% LTV.	Rural properties must comply with all of the following criteria: • Residential use only. • Maximum acreage 5, including road frontage and subject property. • Property must be located in a market where rental properties are prevalent. Locations may include but are not limited to mountain towns, beach communities, waterfront properties, or other tourist/recreational destinations. • Single Family Residences and condominiums only. • At least two comparable recent sales and rentals must be located within 5 miles of subject property. • Property must not be agricultural or provide an agricultural source of income to the borrower. • Lot size and acreage must be typical for the area and similar to surrounding properties. • Property cannot be subject to idle acreage tax benefit or other tax incentive program. • Present use as per the appraisal must be the "highest and best use" for the property. • Condition, quality, and use of outbuildings should be considered in determining the market value of the subject property when the appraiser clearly supports the adjustments with similar comparable information.	Rural properties must comply with all of the following criteria: • Maximum acreage is 5, including road frontage and subject property. • **Purchase transactions only.** • **Long-term rental income only.** • **DSCR > 1.0.** • **Max 65% LTV.** • Single Family Residences and condominiums only. • Residential use only. • Property must be located in a market where rental properties are prevalent. Locations may include but are not limited to mountain towns, beach communities, waterfront properties, or other tourist/recreational destinations. • At least two comparable recent sales and rentals must be located within 5 miles of subject property. • Property must not be agricultural or provide an agricultural source of income to the borrower. • Lot size and acreage must be typical for the area and similar to surrounding properties. • Property cannot be subject to idle acreage tax benefit or other tax incentive program. • Present use as per the appraisal must be the "highest and best use" for the property. • Condition, quality, and use of outbuildings should be considered in determining the market value of the subject property when the appraiser clearly supports the adjustments with similar comparable information.

deephavenmortgage.com • 3530 Toringdon Way Suite 300, Charlotte, NC 28277 USA • 800.983.0457

15.9.2 EQUITY ADVANTAGE APPRAISAL REPORT REQUIREMENTS	**Clarified requirements for AVM property condition report. Revised guidelines to state that a 1007 or 1025 are required on Equity Advantage DSCR transactions.**	For loan amounts ≤ $400,000, one of the following appraisal options is required:
		• Clear Capital AVM with acceptable forecast standard deviation (FSD) score and confidence rating.
		  ○ Acceptable confidence ratings are ≥ 90% and acceptable FSD scores are ≤ 0.10.
		  ○ AVMs must include property condition report or comparable report.
		  ○ Note: If the AVM does not provide the required FSD score or confidence rating, AVM is considered ineligible, and an Exterior-Only or Full Interior Appraisal is required.
		• iQuant Ext Appraisal Report
		• Exterior-Only Inspection Residential Appraisal Report (FNMA 2055 or 1075)
		• Full Interior Appraisal (FNMA Form 1004, 1073, or 1025)
			For loan amounts ≤ $400,000, one of the following appraisal options is required:
			• Clear Capital AVM with acceptable forecast standard deviation (FSD) score and confidence rating.
			  ○ Acceptable confidence ratings are ≥ 90% and acceptable FSD scores are ≤ 0.10.
			  ○ AVMs must include property condition report or **equivalent** report.
			  ○ Note: If the AVM does not provide the required FSD score or confidence rating, AVM is considered ineligible, and an Exterior-Only or Full Interior Appraisal is required.
			• iQuant Ext Appraisal Report
			• Exterior-Only Inspection Residential Appraisal Report (FNMA 2055 or 1075)
			• Full Interior Appraisal (FNMA Form 1004, 1073, or 1025)
			• **Note: Equity Advantage DSCR loans require FNMA Form 1007 or 1025.**